WISE
FINANCIAL LITERACY

WISE STUDENT WORKBOOK

Dimension 1 — Foundation

Wealth • Income • Saving • Empowerment

A BEAC INITIATIVE

Grades 7–12 • 3 Units • 9 Lessons • **Capstone I**

Student Name: _____

School / Program: _____

Teacher / Facilitator: _____

How to Use This Workbook

Welcome to WISE

WISE is about learning how money works — and how to make choices that work for you.

You do not have to know everything before you start. This workbook gives you chances to learn, practice, apply, reflect, and try again.

How Each Lesson Works

Most lessons follow a familiar path:

Lesson Overview → Warm-Up → Learn → Worked Example → Practice → Apply → Reflect → Exit Ticket

Page Type Guide

Page Type	What You'll Do
Unit Launch	See what the unit is about and where you are headed.
Lesson Overview	See the lesson question, goals, vocabulary, and learning path.
Warm-Up	Get your brain thinking about the topic.
Learn	Learn the main idea or skill.
Worked Example	See how the skill works step by step.
Practice	Try it with some support.
Apply	Use the skill in a realistic situation.
Reflect	Think about what you noticed or decided.
Exit Ticket	Show what you learned at the end of the lesson.
Review	Check what you remember and can use from the unit.
Bridge	Connect what you learned to what comes next.
Template	Use a reusable planning tool.

Real-World Research

Real-World Research pages connect the financial concept you are learning to current prices, rates, data, or other public evidence.

Digital Companions

Some lesson pages connect to a WISE digital companion. In the designed workbook, a computer icon, number, and tool name will identify the connection.

- change numbers and see what happens
- compare choices
- test a financial scenario
- adjust a plan

Find all Dimension 1 tools in the Interactive Learning Hub on page 108.

Privacy

You never have to share private financial information in WISE. If a question feels too personal, use sample or fictional information. The skill is the same either way.

Need Help?

- **Table of Contents — p. 3:** Find a lesson, review, template, or other section.
- **Formula Sheet — p. 106:** Find the math formulas used in Dimension 1.
- **Reflection Sentence Starters — p. 107:** Get help explaining your thinking.
- **Glossary — p. 111:** Look up financial terms.

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Name: _____ Date: _____ Class / Period: _____

Before You Begin

This is your starting point. Rate what you know right now. It's okay if some of these ideas are new.

Confidence Check

1 = Need more help 3 = Understand 5 = Can explain or use it confidently

Skill	1	2	3	4	5
I can build a budget and calculate the balance.	○	○	○	○	○
I can distinguish needs, wants, and different types of expenses.	○	○	○	○	○
I can build a savings plan and respond to a saving barrier.	○	○	○	○	○
I can explain how money beliefs can affect financial choices.	○	○	○	○	○
I can identify influences on money beliefs and decisions.	○	○	○	○	○
I can connect a financial value to a goal or choice.	○	○	○	○	○
I can explain simple and compound interest and use the Rule of 72.	○	○	○	○	○
I can explain inflation, purchasing power, and future cost.	○	○	○	○	○

What Do You Know Already?

1. What is one financial idea or skill you already understand?

   _____

   _____

2. What is one question you have about money or financial planning?

   _____

   _____

3. Name one financial goal someone might work toward.

   _____

   Why would that goal need a plan?

   _____

You'll take this same confidence check again at the end of Dimension 1 and see what changed.

My Progress Tracker

Track Your WISE Work

Check off each lesson as you finish it. For confidence, circle or mark the stars that fit you best.

★ = Need more help | ★★ = Understand some | ★★★ = Understand most | ★★★★ = Feel confident | ★★★★★ = Can teach it

Unit	Lesson	Done	Exit Ticket	Date	Confidence
Unit 1	Introduction to Budgeting	☐	☐	_____	☆ ☆ ☆ ☆ ☆
Unit 1	Needs vs. Wants	☐	☐	_____	☆ ☆ ☆ ☆ ☆
Unit 1	Building a Savings Habit	☐	☐	_____	☆ ☆ ☆ ☆ ☆
Unit 2	Understanding Money Mindsets	☐	☐	_____	☆ ☆ ☆ ☆ ☆
Unit 2	Culture, Community & Family	☐	☐	_____	☆ ☆ ☆ ☆ ☆
Unit 2	Financial Values & Goal Setting	☐	☐	_____	☆ ☆ ☆ ☆ ☆
Unit 3	Why Saving Matters — Emergency Savings & Financial Resilience	☐	☐	_____	☆ ☆ ☆ ☆ ☆
Unit 3	Understanding Interest	☐	☐	_____	☆ ☆ ☆ ☆ ☆
Unit 3	Inflation & Purchasing Power	☐	☐	_____	☆ ☆ ☆ ☆ ☆

Big Milestones

Milestone	Done	Date
Pre-Assessment	☐	_____
Unit 1 Review	☐	_____
Unit 1 Quiz	☐	_____
Unit 2 Review	☐	_____
Unit 2 Quiz	☐	_____
Unit 3 Review	☐	_____
Unit 3 Quiz	☐	_____
Dimension Check I	☐	_____
Capstone I	☐	_____
Post-Assessment / Growth Reflection	☐	_____

My Progress

Something I'm getting better at:

_____

_____

_____

Something I want more practice with:

_____

_____

_____

Budgeting & Planning

Make a Plan for Your Money. Build a Stronger Future.

Money is part of your everyday life. In this unit, you will learn how to create a budget, make smart choices, and set goals for what you want now and in the future.

Why This Unit Matters

The choices you make with money today can help you reach your goals, handle unexpected situations, and create more opportunities for your future.

In This Unit, You Will:

- [ ] Create and adjust a budget.
- [ ] Understand your needs and wants.
- [ ] Build a savings habit.
- [ ] Set goals for your future.

Big Question

How can a plan for your money help you make clear choices and reach real goals?

Unit Roadmap

Each lesson builds on the last.

01 | **Lesson 1.1**
Introduction to Budgeting
Learn what a budget is and how it works.

02 | **Lesson 1.2**
Needs vs. Wants
Explore the difference between needs and wants and how to make smart choices.

03 | **Lesson 1.3**
Building a Savings Habit
Learn how to save, set a goal, and build a habit that lasts.

Key Words to Know

budget | income | expense | fixed expense | variable expense | savings | balance | goal

Before You Start

01 | What is one thing you already know about budgeting or saving?

02 | What is one question you hope this unit answers?

Introduction *to* Budgeting

WHY THIS MATTERS

A budget helps you see what money is coming in, what needs to go out, what you want to save, and whether the numbers actually fit. You do not need a lot of money to need a plan for it.

Budgeting is not about restriction. It is about direction.

ESSENTIAL QUESTION

How can a budget help people make clear choices with limited money?

TODAY I WILL...

- ☐ **Explain** what a budget is and why it matters.
- ☐ **Identify** income, expenses, fixed expenses, and variable expenses.
- ☐ **Calculate** a budget balance using income, expenses, and savings.
- ☐ **Build** a basic budget using a sample scenario.

TODAY'S LEARNING JOURNEY

Warm-Up → Learn → Worked Example → Practice → Apply → Real-World Research → Exit Ticket

WORDS TO KNOW

budget | income | expense | fixed expense | variable expense | savings | balance | goal

My *Financial* Goals

BEFORE YOU START

Think about something you would like money to help you do, buy, or achieve.

REMEMBER

Goals give your money somewhere to go.

Before you build a plan for your money, it helps to know what you want the plan to support.

My Short-Term Goal

NEXT 1–3 MONTHS

Goal:

_____

Estimated Cost: $_____

Why this goal matters to me:

_____

_____

My Long-Term Goal

NEXT 1–2 YEARS

Goal:

_____

Estimated Cost: $_____

Why this goal matters to me:

_____

_____

CONNECT TO TODAY'S LESSON

How could having a plan for your money help you move toward one of these goals?

_____

_____

_____

PRIVACY NOTE

You may use a real, sample, or fictional goal.

How a Budget Works

WHY THIS MATTERS

When you can see income, expenses, savings, and balance in one place, it is easier to tell whether a money plan works and what may need to change.

REMEMBER

Income – Expenses – Savings = Balance

WISE TIP

To tell whether an expense is fixed or variable, focus on the **amount**. Does it usually stay the same, or can it change?

Money Needs a Plan

A **budget** is a plan for how money will be used. A budget has four basic parts:

Income
Money coming in.

Expenses
Money going out.

Savings
Money intentionally set aside for later.

Balance
Money left after expenses and savings.

The Budget Equation

Income – Expenses – Savings = Balance

If the balance is...	It means...
More than $0	There is money left.
Exactly $0	All available money has been planned.
Less than $0	The plan uses more money than is available. Something needs to change.

Fixed vs. Variable Expenses

Fixed Expenses

Costs that usually stay the same during the planning period.

Examples: rent • monthly phone plan • bus pass • insurance payment

Variable Expenses

Costs that can change because of usage, timing, circumstances, or choices.

Examples: groceries • gas • dining out • entertainment

01 | Classify Each Expense

Mark each expense **F** for Fixed or **V** for Variable.

Expense	F	V
Rent	○	○
Groceries	○	○
Monthly Phone Plan	○	○
Dining Out	○	○
Bus Pass	○	○
Entertainment	○	○

02 | Quick Check

1. What happens when a budget uses more money than the income available?

2. Why can an expense happen every month and still be variable?

3. A sample budget has $600 in income, $420 in expenses, and $80 in savings. What is the balance?

   $600 – $420 – $80 = $_____

CHECK YOUR REASONING

Did you start from Kate's original numbers before making each new change? ☐ Yes ☐ Not yet

Reflect What did you notice about how a budget works?

Kate's Budget

BEFORE YOU START

Read Kate's whole scenario once. Then follow the math from

REMEMBER

Income – Expenses – Savings = Balance

Meet Kate

Kate is a high school senior who works part-time at a local coffee shop. In this budgeting scenario, she shares an apartment with a roommate near school.

Kate wants to see whether a **$150 monthly savings goal** fits the plan.

Kate's Monthly Income

Source	Amount
Part-time job after taxes	$1,200
Total Income	**$1,200**

Kate's Monthly Expenses

Expense	Fixed or Variable?	Amount
Rent – shared apartment	Fixed	$400
Groceries	Variable	$180
Phone Bill	Fixed	$45
Bus Pass	Fixed	$60
Entertainment	Variable	$80
Total Expenses	—	**$765**

Watch the Math

01 | **Add Kate's Expenses**
$400 + $180 + $45 + $60 + $80 = **$765**

02 | **Subtract Expenses From Income**
$1,200 – $765 = **$435**
Kate has **$435** before savings.

03 | **Subtract the Savings Goal**
$435 – $150 = **$285**
Kate's final **balance** is **$285.**

What It Shows

Question	Answer
Is Kate spending more than she earns?	**No**
Can the plan include the $150 savings goal?	**Yes**
Is there money left after expenses and savings?	**Yes — $285**

Reflect | Kate has **$285** left after expenses and savings.

What is one reasonable choice she could make with some or all of that balance?

What trade-off could come with that choice?

Changing *a* Budget

BEFORE YOU START
Start from Kate's original budget before making the change in each challenge.

REMEMBER
When one number changes, recalculate every total it affects.

CONNECT
You saw how Kate's original budget works. Now change one part and see what happens.

Kate's Original Budget

Income:	Total Expenses:	Savings Goal:	Final Balance:
$1,200	$765	$150	$285

01 Challenge — The Rent Increase

Kate's rent increases from $400 to $500 per month.

Her other expenses still total $365.

New Total Expenses
$500 + $365 = $ _____

Money Before Savings
$1,200 – $ _____ = $ _____

Final Balance
$ _____ – $150 = $ _____

Can the plan still include $150 in savings?

☐ Yes
☐ No

02 Challenge — An Unexpected Expense

Kate's phone screen is damaged. In this scenario, the necessary repair costs $200.

Her regular expenses remain $765.

New Total Expenses
$765 + $200 = $ _____

Money Before Savings
$1,200 – $ _____ = $ _____

Final Balance
$ _____ – $150 = $ _____

Can the plan still include $150 in savings without another change?

☐ Yes
☐ No

03 Challenge — The Raise

Kate's income increases from **$1,200 to $1,400.**

Her regular expenses remain $765, and she decides to increase her savings goal to $250.

Money Before Savings
$1,400 – $765 = $ _____

Final Balance
$ _____ – $250 = $ _____

Can the plan include $250 in savings now?

☐ Yes
☐ No

CHECK YOUR REASONING

Did you start from Kate's original numbers before making each new change?

☐ Yes ☐ Not yet

Reflect

What did you notice about how changes to income or expenses affected the balance?

_____

_____

Build *a* Budget

BEFORE YOU START

Look back at Kate's budget if you need a model.

REMEMBER

Income – Expenses – Savings = Balance

SUCCESS CRITERIA

- ☐ Include all income and expenses
- ☐ Identify fixed and variable expenses
- ☐ Include the $100 savings goal
- ☐ Calculate the final balance
- ☐ Explain one trade-off

REAL-WORLD LAB

What Do Groceries Really Cost?

Compare Devon's grocery estimate with current evidence.

Real-World Lab → ***p. 13***

DIGITAL TOOL

Devon's Month

Explore what happens when a budget meets real-life changes.

Interactive Learning Hub ***p. 108***

Meet Devon

In this budgeting scenario:

- **Monthly Income:** $950
- **Goal:** Save $100 each month toward a laptop for school.
- **Scenario:** Devon lives in a shared housing arrangement. Devon pays $300 for rent and $50 for a phone bill each month. The rest of the budget is open for you to plan.

Devon's Starting Point

Devon has $950 total.
Subtract fixed costs:
$300 rent + $50 phone = $350

Subtract the savings goal:
$950 – $350 – $100 = $500

That leaves up to $500 for variable expenses and any money left over.

Possible Starting Ranges

Groceries:	$150 – $300
Transportation:	$40 – $120
Entertainment:	$30 – $100
Miscellaneous:	$20 – $80

These are sample starting points. You may choose different amounts as long as the budget math works.

Notice: If you choose amounts near the high end of every range, Devon's plan will not fit within the $500 available. Decide which categories to protect and which to adjust.

01 | Fill in Devon's Budget

Budget Item	Fixed or Variable?	Planned Amount	Notes
Income – Total In	—	$950	Monthly income
Savings Goal	—	$100	Laptop savings
Rent / Housing	F	$300	Required
Phone Bill	F	$50	Required
Groceries / Basic Food	V	$ _____	
Transportation	V	$ _____	
Entertainment & Social	V	$ _____	
Miscellaneous / Other	V	$ _____	
Total Expenses	—	**$** _____	Add expense rows only

02 | Check the Balance

$950 Income – $ _____ Expenses – $100 Savings = $ _____ Balance

- ☐ Positive balance
- ☐ $0 balanced
- ☐ Shortfall — the plan needs adjustment

03 | Explain One Trade-Off

REMEMBER **A trade-off means** choosing what to protect, reduce, delay, or change when every option cannot have the same priority.

What did you protect, reduce, or adjust to make Devon's plan work? Why?

_____

_____

What Do Groceries *Really* Cost?

You already built Devon's first budget. Now test one assumption using current grocery prices.

For this fictional budgeting exercise, treat the basket below as one sample week of groceries for Devon.
It is a simplified budgeting scenario—not a nutrition plan or a recommendation about what anyone should eat.

01 | Start With Your First Plan

What grocery amount did you put in Devon's budget?

$ _____ per month

That is your starting assumption.

02 | Gather Current Evidence

Use Walmart Grocery or a local grocery store to find current prices.

Directions:

1. Search for each item listed below.
2. Match the sample quantity as closely as practical.
3. Record one current price for each item.
4. Record the store/location and the date you checked.

Item	Sample Quantity	Current Price
Milk	1 gallon	$ _____
Eggs	1 dozen	$ _____
Rice	2 lb	$ _____
Apples	2 lb	$ _____
Bread	1 loaf	$ _____
Chicken	2 lb	$ _____
Pasta	1 box	$ _____
Bananas	2 lb	$ _____
Sample Weekly Basket Total		$ _____

Store/location: _____ Date checked: _____

03 | Estimate the Monthly Cost

Use 4.33 weeks per month to turn Devon's fictional one-week basket into a monthly estimate.

Sample Weekly Grocery Cost:

$ _____

$ _____ × 4.33 = $ _____

Estimated Monthly Grocery Cost for Devon's Practice Scenario:

$ _____

04 | Compare It With Your Plan

	Amount
My original Devon grocery estimate	$ _____
Evidence-based estimate from this investigation	$ _____
Difference	$ _____

What does the evidence tell you?

- ☐ My original estimate still seems workable.
- ☐ I would revise the grocery amount.

My revised amount would be:

$ _____

05 | Make a Budget Decision

If the grocery amount changes, what else in Devon's plan might need to change?

☐ Another variable expense ☐ Money left over ☐ Savings plan ☐ Something else: _____

What would you change—or protect—and why? _____

DIGITAL TOOL

Devon's Month

Explore what happens when an unexpected change affects Devon's monthly plan.

Interactive Learning Hub → p. 108

Name: _____ Date: _____ Class / Period: _____

Show What You Learned

01 Define

In your own words, what is a budget?

_____

_____

_____

02 Classify

Circle F for Fixed or V for Variable.

Expense	F	V
Car insurance payment	○	○
Movie theater snacks	○	○
Weekly grocery trip	○	○
Monthly music-streaming subscription	○	○

03 Calculate

A fictional student earns $1,200 per month. Total monthly expenses are $820. The plan includes $150 in savings.

Step A: $1,200 − $820 = $_____

Step B: $_____ − $150 = $_____

Step C:

Can the plan include the $150 savings goal without another change?

☐ Yes ☐ No

Reflection — Not Graded

HOW CONFIDENT ARE YOU?

1 = Need more help 3 = Understand 5 = Can teach it

Skill	1	2	3	4	5
I can define a budget in my own words.	○	○	○	○	○
I can identify fixed and variable expenses.	○	○	○	○	○
I can calculate a budget balance.	○	○	○	○	○
I can explain how budgeting supports goals.	○	○	○	○	○

WHAT I STILL WONDER

_____

_____

CONNECT TO YOUR LIFE

What is one idea from this lesson that you could use when planning money?

_____

_____

NEXT UP: LESSON 1.2 — NEEDS VS. WANTS

Needs vs. Wants

WHY THIS MATTERS

Knowing what must be protected, what is optional, and what depends on context can make spending decisions clearer.

What you need comes first. What you want depends on what remains.

ESSENTIAL QUESTION

How do needs and wants shape what your money can do?

TODAY I WILL...

- [ ] Define a need, want, and gray zone.
- [ ] Explain how context can change the way an expense is classified.
- [ ] Explain the WISE spending-plan sequence Needs → Savings → Wants.
- [ ] Build a spending plan and explain a trade-off.

TODAY'S LEARNING JOURNEY

Warm-Up → Learn → Worked Example → Practice → Apply → Real-World Research → Exit Ticket

WORDS TO KNOW

need | want | gray zone | spending plan | trade-off | surplus

Is a Smartphone a Need or a Want?

BEFORE YOU START

Think about the reason someone needs the item, not just the item itself.

REMEMBER

Need = essential.
Want = optional.
Context matters.

A smartphone is a good example of why needs and wants are not always simple.

The Baseline Need

What phone features might someone need for safety, school, work, or communication?

The Want Upgrade

What features might go beyond the basic need?
Think about a newer model, premium accessories, extra storage, or upgraded features.

The Gray Zone Decision

Smartphone with an Unlimited Data Plan

How would you classify it?

☐ Need ☐ Want ☐ Gray Zone

What information helped you make your decision?

CONNECT TO TODAY'S LESSON

Why might two people classify the same expense differently?

Needs, Wants & the Gray Zone

WHY THIS MATTERS

A spending plan works better when you know what must be covered, what can wait, and where the answer depends on the situation.

REMEMBER

Context can change the classification.

WISE TIP

When you are not sure how to classify something, ask:

1. What is the item used for?
2. What would happen without it?
3. What part of the situation matters?

What Is a Need?

A need is something essential for basic health, safety, or functioning.

Examples can include:

- food
- shelter
- basic clothing
- transportation required for school, work, safety, or another essential responsibility

What Is a Want?

A want is something that improves comfort, convenience, or enjoyment but is not essential for basic functioning.

Examples can include:

- entertainment subscriptions
- dining out
- premium or upgraded versions of an item
- optional entertainment purchases

Wants are not bad. A want is a category, not a judgment about the person choosing it.

What Is the Gray Zone?

A gray-zone choice is an item or expense that could reasonably be a need or a want depending on the situation.

Example: A basic phone may be necessary for safety, school, or work. A premium upgrade may be optional. The context matters.

01 | What Changes the Category?

Think about the examples below. Mark each one as a Need (N), Want (W), or Gray Zone (G), and explain why.

Example	N / W / G	Why?
Basic groceries	○ ○ ○	
Premium brand upgrade	○ ○ ○	
Transportation to work or school	○ ○ ○	
A device required for a class	○ ○ ○	

02 | Build a Spending Plan in Order

A spending plan organizes money by priority.

1. **NEEDS** – Cover essential costs first.
2. **SAVINGS** – Set aside the planned savings target.
3. **WANTS** – Use the remaining money for optional spending.

Needs → Savings → Wants

This sequence does not guarantee that every plan will fit. If required costs are greater than available income, the plan has a shortfall and something must be reconsidered.

03 | Quick Check

Why does WISE put planned savings before wants? _____

_____

Elijah's Spending Plan

BEFORE YOU START

Look for the order Elijah uses: Needs → Savings → Wants.

REMEMBER

A spending plan protects required costs and planned savings before optional spending.

Meet Elijah

In this spending-plan scenario, Elijah works part-time and recently moved into a shared apartment.

His monthly income after taxes is $1,050. The plan needs to cover required needs, include $100 in savings, and then show what is available for wants.

Elijah's Monthly Income

Source	Amount
Part-time job after taxes	$1,050
Total Income	**$1,050**

Elijah's Monthly Expenses

Expense	Category	Amount
Rent — shared apartment	Need	$350
Groceries	Need	$160
Basic Phone Plan	Need	$40
Bus Pass	Need	$55
Electricity — shared	Need	$30
Streaming Subscription	Want	$15
Entertainment	Want	$70
Clothing – optional purchases in this scenario	Want	$60
Miscellaneous — optional spending in this scenario	Want	$45

Watch the Order

01 Add the Needs
$350 + $160 + $40 + $55 + $30 = **$635**

02 Subtract Needs From Income
$1,050 – $635 = **$415**
Elijah has **$415** after needs.

03 Set Aside Savings
$415 – $100 = **$315**
Elijah has **$315** available after needs and savings.

04 Add the Wants
$15 + $70 + $60 + $45 = **$190**

05 Find the Surplus
$315 – $190 = **$125**
Elijah's plan covers his needs, includes $100 in savings, covers the listed wants, and leaves a $125 surplus.

What Elijah's Plan Shows

Question	Answer
Are Elijah's needs covered?	**Yes**
Did Elijah set aside the $100 savings goal?	**Yes**
Do the wants fit after needs and savings?	**Yes**
What is the final surplus?	**$125**

Reflect

What is one reasonable choice Elijah could make with some or all of the $125? What trade-off could come with that choice?

Changing a Spending Plan

BEFORE YOU START
Use Elijah's original plan as the starting point for each challenge.

REMEMBER
When a condition changes, protect the plan's priorities and recalculate.

CONNECT
You saw how Elijah's plan works. Now test what happens when needs, income, or available money changes.

Elijah's Starting Point | Income: $1,050 | Needs: $635 | Savings Goal: $100 | Wants: $190 | Surplus: $125

01 Challenge — Needs Increase

Elijah's total needs increase from $635 to $710.

Money after needs: $1,050 – $710 = $_____

Money after $100 savings: $_____ – $100 = $_____

Can Elijah still save $100? ☐ Yes ☐ No

How much is now available for wants? $_____

02 Challenge — A $150 Bonus

Elijah receives an unexpected $150 bonus after his regular plan is already covered.

Option	Add to Savings	Add to Wants
Save all	$150	$0
Save $100 / Spend $50	$100	$50
Save $50 / Spend $100	$50	$100
My own split	$_____	$_____

Which option would you choose for Elijah, and what trade-off does it make?

_____

_____

03 Challenge — Income Drops

Elijah's income drops to $600, while his needs remain $635.

$600 – $635 = $_____

Elijah now has a: ☐ Surplus ☐ Balanced plan ☐ Shortfall

Should Elijah plan wants as if nothing changed? Why or why not?

_____

_____

What is one reasonable next step he could consider?

_____

_____

What Did You Notice?

Why can a spending plan need to change even when the person did nothing "wrong"?

_____

_____

Build a Spending Plan

BEFORE YOU START

Look back at Elijah's spending plan if you need a model.

REMEMBER

Needs → Savings → Wants

SUCCESS CRITERIA

- ☐ Cover needs first
- ☐ Include the stated savings goal
- ☐ Plan wants with what remains
- ☐ Calculate the final surplus or shortfall
- ☐ Explain one trade-off

REAL-WORLD RESEARCH

What Does a Studio Really Cost?

Compare Bianca's $450 rent assumption with a current listing.

Real-World Research → ***p. 21***

DIGITAL COMPANION 2

Priority Shift.

See how safety shoes and a youth bus pass change priorities in Elijah's plan.

p. 108 *Learning Hub →*

Choose ONE Profile

Profile A — Taylor

Monthly Income: $800

Savings Goal: $150 per month toward a car

Known Needs:

- Household grocery / utility contribution: $150
- Regional train pass: $80

Everything else is open for Taylor to plan.

Profile B — Bianca

Monthly Income: $1,200

Savings Goal: $200 per month toward starting a business

Known Needs:

- Studio rent: $450
- Business phone line: $60

Everything else is open for Bianca to plan.

Need a Starting Point?

Start with income. Cover the known needs. Add any other reasonable essential needs. Set aside the savings goal. Use what remains for wants. Use fictional planning amounts. There is more than one workable answer.

01 | Build the Spending Plan

My Profile: ☐ Taylor ☐ Bianca

Category	Planned Amount
Income	$ _____
NEEDS	
Housing / Household Contribution	$ _____
Transportation / Phone	$ _____
Other Essential Need	$ _____
Other Essential Need	$ _____
Total Needs	$ _____
SAVINGS	
Monthly Savings Target	$ _____
Total Savings	$ _____
WANTS	
Dining / Snacks	$ _____
Entertainment / Hobbies	$ _____
Personal / Shopping	$ _____
Other Want	$ _____
Total Wants	$ _____

02 | Check the Plan

Income − Needs − Savings − Wants = Surplus / Shortfall

$ _____ − $ _____ − $ _____ − $ _____ = $ _____

☐ Surplus ☐ $0 balance ☐ Shortfall — the plan needs adjustment

03 | Explain One Trade-Off

REMEMBER

What did you protect, reduce, delay, or adjust to make the plan work? Why?

_____

_____

What Does a Studio *Really* Cost?

Bianca's fictional spending plan uses $450 per month for studio rent. Use one current public example to test that assumption.

01 | START WITH YOUR FIRST PLAN

Bianca's fictional rent: $450.
That is your starting assumption.

02 | FIND ONE CURRENT EXAMPLE

Use a rental source or dated listing your teacher provides or approves.

apartments.com

Directions:

1. Go to apartments.com
2. Enter a city or ZIP code (teacher-selected location)
3. Filter for Studio apartments
4. Browse the results and choose one listing
5. Record the advertised monthly rent
6. If a range is shown (e.g., "$1,050–$1,425"), record it as "starting at $1,050+".

Use the teacher-selected location — not your home address or personal ZIP code.

Selected location: _____

Source / listing: _____

Date checked: _____

Advertised base monthly rent: $ _____

If the listing says "starting at," record it that way.

03 | COMPARE

	Amount
Bianca's fictional rent:	$450
Current listing:	$ _____
Difference:	$ _____

Which statement best describes the current listing compared to Bianca's fictional rent?

- ☐ Current listing is higher
- ☐ Current listing is lower
- ☐ Very close to the scenario amount

04 | WHAT CHANGES?

If Bianca's rent changed by this amount and everything else stayed the same, what would happen to the money available for savings and wants?

_____

_____

What part of the fictional spending plan would you reconsider first, and why?

_____

_____

Remember: One listing is one current example — not the typical rent for every apartment or every location.

DIGITAL TOOL
Priority Shift

Test a changed required-cost amount.
Digital Learning Hub → p. 108

Name: _____ Date: _____ Class / Period: _____

Needs vs. Wants

Show What You Learned

01 | Define

What is the main difference between a need and a want? Give one example of each.

_____

_____

_____

02 | Explain Context

A fictional student pays for a basic phone plan used for safety and contact. How would you classify it?

☐ Need ☐ Want ☐ Gray Zone

Explain your choice. Then describe one change in the situation that could reasonably change the classification.

_____

_____

_____

03 | Calculate

Taylor earns $800 per month. Required needs cost $230, and the savings target is $150.

Money available after needs and savings:

$800 − $230 − $150 = $ _____

Taylor plans to spend $300 on wants.

How much would remain after the $300 in wants?

$ _____ − $300 = $ _____

Reflection — Not Graded

Why can two people make different reasonable classifications or spending choices when their situations are different?

_____

_____

_____

Confidence: 1 ○ 2 ○ 3 ○ 4 ○ 5 ○

NEXT UP: LESSON 1.3 — BUILDING A SAVINGS HABIT

Building *a* Savings Habit

WHY THIS MATTERS

A savings plan turns a future goal into smaller actions that can be adjusted when circumstances change.

A brighter future is built one deposit at a time.

ESSENTIAL QUESTION

How do I start saving, even when it is hard?

TODAY I WILL...

- [ ] Explain what Pay Yourself First means.
- [ ] Identify a saving barrier and choose a realistic strategy.
- [ ] Calculate a recurring savings amount for a goal.
- [ ] Write a SMART savings goal.
- [ ] Choose a savings system that fits a goal or scenario.

TODAY'S LEARNING JOURNEY

Warm-Up → Learn → Learn → Worked Example → Practice → Apply → Real-World Research → Planner → Exit Ticket

WORDS TO KNOW

savings | Pay Yourself First | barrier | strategy | SMART goal | savings rate

How Small Savings Habits Grow.

BEFORE YOU START

Before you calculate, guess how much saving $2 a day would add up to in one year.

REMEMBER

Small amounts can become meaningful when they are repeated over time.

Imagine someone saves $2 every day.

In 1 Week	In 1 Month	In 1 Year
$2 × 7 days = **$14**	Use an average month of about 30 days. $2 × 30 days = **$60**	$2 × 365 days = **$730**

What Do You Notice?

1. What surprised you about the total?

2. Why might a small repeatable amount be easier to maintain than waiting to save a large amount all at once?

PRIVACY NOTE

You do not need to describe your own income or savings. Use the sample if you prefer.

Build a Savings Habit

WHY THIS MATTERS

A savings habit gives future goals and unexpected costs a place in the plan before all available money is spent.

REMEMBER

Pay Yourself First = set aside planned savings when money comes in, before optional spending.

WISE TIP

Start with an amount you can repeat. You can increase it later.

Why Save?

Savings can help someone:

- work toward a planned goal;
- prepare for an unexpected necessary cost;
- create more flexibility when circumstances change;
- reduce the need to make every future decision with only the money available that day.

Pay Yourself First.

Pay Yourself First means treating planned savings as part of the plan rather than waiting to see whether anything is left after optional spending.

$400 income – $40 planned savings = $360 remaining.

The $40 is not "extra." It is an amount the person chose to protect for a future purpose.

Barriers & Strategies.

A barrier is something that makes saving harder. A strategy is an action or system that may help.

Barrier	Possible Strategy
Income changes from month to month	Use a flexible savings target or save a percentage when possible.
Savings gets spent accidentally	Keep it separate from everyday spending.
The goal feels too large	Break it into smaller milestones.
It is easy to forget	Use a reminder or automatic transfer if available.
An unexpected necessary cost comes up	Recalculate the plan and adjust the timeline if needed.

A strategy should fit the situation. There is no single savings method that works for everyone.

01 | Quick Check

Choose one barrier above. Why might the matching strategy help?

Where to Keep Your Savings

WHY THIS MATTERS

Where savings is kept can affect how easy it is to spend, how protected it is, and whether it can earn interest.

REMEMBER

You can practice saving even if you do not have a bank account.

WISE TIP

A useful savings system keeps the money separate from everyday spending.

Compare Two Ways to Keep Savings.

Feature	Cash Envelope or Jar	Savings Account at an Insured Financial Institution
Access	Direct physical access	Access through the account or withdrawal.
Separation from spending	Depends on where you keep it	Can be separate from everyday spending.
Safety	Cash can be lost, damaged, or stolen	Eligible deposits may be federally insured.
Interest	Does not earn interest	May earn interest.
Account Required	No	Yes

Different Systems Fit Different Situations.

Cash Envelope or Jar

- does not have a financial account
- prefers a physical system
- wants to see savings grow

Savings Account

- has access to an account
- wants savings separated electronically
- wants the possibility of earning interest.

Neither choice works for every situation. Access, safety, convenience, fees, and personal circumstances can all matter.

01 | Quick Check

What is one trade-off between keeping savings in cash and keeping savings in an account?

Marcus's SMART Goal

BEFORE YOU START

Notice Marcus's goal amount, timeline, and monthly income before following the math.

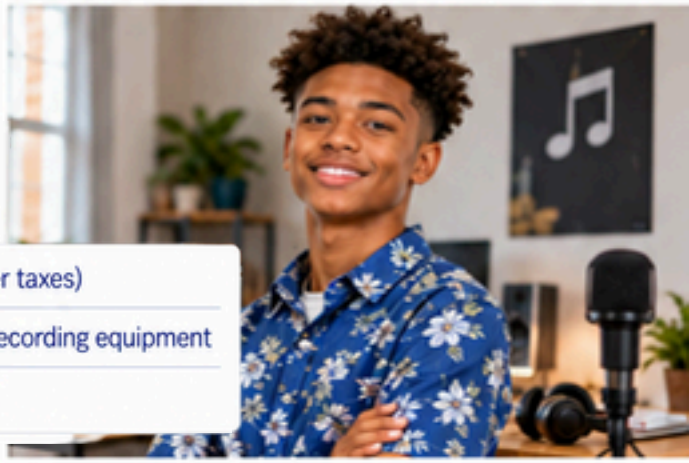
REMEMBER

SMART = Specific • Measurable • Achievable • Relevant • Time-bound.

Meet Marcus

Marcus earns $400 per month from part-time work. He wants to save for recording equipment.

Monthly income:	**$400** (after taxes)
Savings goal:	**$240** for recording equipment
Timeline:	**6** months



Marcus's Monthly Income

Source	Amount
Part-time job after taxes	$400
Total Income	**$400**

Marcus's Savings Goal

Item	Total Cost	Months	Monthly Amount
Recording equipment	$240	6	$40
Total (Goal)	**$240**	**6**	**$40**

Watch the Math

01 **Find the Monthly Savings Amount.**
$240 ÷ 6 months = **$40** per month.

02 **Find the Savings Rate.**
$40 ÷ $400 = 0.10 = **10%.**

03 **Use Pay Yourself First.**
$400 income – $40 savings = **$360.**
Marcus has $360 left for needs and other spending.

04 **Test Achievability.**
If Marcus's required needs total $310, then $360 – $310 = **$50.**
In this example, the goal is achievable and $50 remains.

The SMART Goal Breakdown

SMART Element	Details
Specific	Save for recording equipment.
Measurable	$240 total; $40 per month.
Achievable	Possible if required needs can be covered after saving $40.
Relevant	Supports a goal Marcus chose.
Time-bound	6 months.

Reflect | What part of Marcus's plan would need to change if the equipment cost increased?

What trade-off could help Marcus stay on track?

Adjusting a Savings Plan

BEFORE YOU START

Use Marcus's original goal as the starting point for each challenge.

REMEMBER

Goal Amount ÷ Number of Months = Monthly Savings Needed.

CONNECT

A savings plan is allowed to change when the goal, timeline, income, or circumstances change.

Marcus's Original Goal

- Goal Amount: $240
- Timeline: 6 months
- Monthly Savings Needed: $40
- Monthly Income: $400

01 Challenge — The Price Increases

The recording equipment now costs $300, but Marcus still wants to reach the goal in 6 months.

$300 ÷ 6 = $ _____ per month.

What changed in the plan?

_____

_____

02 Challenge — More Time

Marcus keeps the $240 goal, but decides he can take 8 months.

$240 ÷ 8 = $ _____ per month.

How does a longer timeline change the monthly amount?

_____

_____

03 Challenge — A Difficult Month

Marcus planned to save $40, but an unexpected necessary expense means he can save only $20 this month.

The remaining amount after this month would be:

$240 − $20 = $ _____ .

If Marcus still has 5 months remaining, then:

$ _____ ÷ 5 = $ _____ per month.

What are two reasonable options Marcus could consider?

1. _____
2. _____

What Did You Notice?

Why is adjusting a savings plan different from giving up on a goal?

_____

_____

Build a SMART Savings Goal

BEFORE YOU START

Choose a goal that works for this activity. It may be real, sample, or fictional.

REMEMBER

Goal Amount ÷ Number of Months = Monthly Savings Needed

SUCCESS CRITERIA

- ☐ Name a clear savings goal
- ☐ Include a total goal amount
- ☐ Include a timeline
- ☐ Calculate the recurring savings amount
- ☐ Check whether the plan seems workable
- ☐ Identify one barrier and one strategy.

REAL-WORLD RESEARCH

Is Your Goal Price Still Current?

Compare your savings target with a current price.

Real-World Research → **p. 30**

DIGITAL COMPANION 3

Goal in Motion

Follow Marcus's savings over several months. Adjust after a difficult month, decide what to do with a $15 gift, and compare the effect on his goal.

Interactive Learning Hub → **p. 108**

PRIVACY NOTE

Use a real, sample, or fictional goal. You do not need to share private financial information.

01 | Name the Goal

I want to save for: _____

_____

Why this goal matters: _____

_____

_____

02 | Set the Target

Goal Amount: $ _____

Timeline: _____ months

03 | Calculate the Monthly Amount

$ _____ ÷ _____ months = $ _____ per month

04 | Test the Plan

Does this recurring amount seem workable for the scenario you are using?

- ☐ Yes
- ☐ Maybe — I would need to adjust something
- ☐ No — I should change the amount or timeline.

What would you adjust if needed?

_____

_____

05 | Plan for a Barrier

One barrier that could make saving harder:

_____

One strategy that could help:

_____

06 | Write the SMART Goal

I will save $ _____ for _____ by _____

by saving $ _____ per month.

Is Your Goal Price Still Current?

Use a current public price to test the cost assumption for a goal that can reasonably be priced.

ACCESS-FLEXIBLE ROUTE: If live access is unavailable, use a teacher-provided current, dated screenshot, printout, listing, or data point that fits the task. If no appropriate current source is available, this optional Real-World Research experience may be omitted without affecting completion of the essential lesson.

01 | Start With Your Plan

Goal: _____

Amount in my plan: $ _____

02 | Check One Current Example

Use an appropriate public source, a live public listing, or an already available dated screenshot, printout, or local price example.

Do not create an account, log in, purchase anything, enter checkout, or submit personal information.

Directions:

1. Search for the item, service, or a clearly comparable example.
2. Open one current public listing or use the dated source already available.
3. Record the listed price before tax and note any important difference between the example and your goal.

Source: _____

Date checked: _____

Item / service / comparable example: _____

_____

Current listed price (before tax): $ _____

03 | Compare

	Amount
My planned amount	$ _____
Current example	$ _____
Difference	$ _____

- ☐ Current example is higher.
- ☐ Current example is lower.
- ☐ Very close to my planned amount.

04 | Decide

Does the evidence suggest that the savings target should change?

- ☐ No — the current target still seems workable.
- ☐ Yes — I would revise the target.

Revised target, if needed: $ _____

Remember:
One current price is one current example. Prices can change, and different versions of an item or service may cost different amounts.

05 | Recalculate If Needed

$ _____ revised goal ÷ _____ months =

$ _____ per month

What would you change — the amount, the timeline, the monthly savings target, or nothing? Why?

_____

_____

DIGITAL COMPANION 3

Goal in Motion

After Marcus's story, explore a goal amount from $20 to $600 and a timeline from 1 to 24 months. If your researched goal falls outside those controls, calculate it in the workbook.

Interactive Learning Hub → p. 108

Choose *a* Savings System

Use your SMART goal to build your plan.

1. **Decide where the savings will go.**
   Use your SMART goal from page 29—or another goal.
2. **Choose when you will add to it.**
   Pick how often and how much.
3. **Plan for changes.**
   Decide what you will do if the plan changes.

01 | My Goal

Goal: _____

Target Amount: $_____

Target Date: _____

Planned Savings Amount: $_____ per _____

02 | Choose a Savings System

- ☐ Cash envelope / jar
- ☐ Savings account, if available
- ☐ Separate digital category or sub-account, if available
- ☐ Another system: _____

03 | When Will I Add to It?

- ☐ When income arrives
- ☐ Weekly
- ☐ Monthly
- ☐ On another schedule: _____

04 | What Will Help Me Remember?

- ☐ Calendar reminder
- ☐ Written tracker
- ☐ Automatic transfer, if available
- ☐ Visual progress chart
- ☐ Another strategy: _____

05 | If the Plan Changes...

If I cannot save the planned amount one time, I could: _____

If the goal amount changes, I could: _____

If I need more time, I could: _____

06 | My Next Step

The next action I would take to support this savings plan is: _____

Name: _____ Date: _____ Class / Period: _____

Show What You Learned

01 | Define

In your own words, what does "Pay Yourself First" mean?

_____

_____

_____

02 | Calculate

Marcus wants to save $240 in 6 months.

$240 ÷ 6 months = $_____ per month.

Marcus earns $400 per month.

$_____ ÷ $400 = _____.

_____ × 100 = _____%.

03 | Barrier & Strategy

Name one barrier that could make saving harder: _____

Name one strategy that could help with that barrier: _____

04 | SMART Goal

Complete the sentence using a real, sample, or fictional goal.

I will save $_____ for _____ by _____

by saving $_____ per month.

Reflection – Not Graded

HOW CONFIDENT ARE YOU WITH TODAY'S SKILL?

1 ○ 2 ○ 3 ○ 4 ○ 5 ○

ONE THING I STILL WONDER

_____

_____

NEXT UP: UNIT 1 REVIEW

Budgeting & Planning Review

Budget
See what money is coming in and going out.

→

Spending Plan
Make choices about needs, wants, and goals.

→

Savings Habit
Set money aside to reach future goals.

Big Question

How can a plan for money help someone make clear choices and reach goals?

01 | Budget Check

A fictional student has:

- **Income:** $1,000
- **Expenses:** $720
- **Savings:** $150

Balance:
$1,000 – $720 – $150 = $_____

The plan has a:

- ☐ Positive balance
- ☐ $0 balance
- ☐ Shortfall

02 | Fixed or Variable?

Mark each expense F or V.

Expense	F / V
Monthly rent	____
Groceries	____
Monthly transit pass	____
Entertainment	____

03 | Need, Want, or Gray Zone?

Choice	N / W / G	What context matters?
Basic transportation to work	____	_____
Premium phone upgrade	____	_____
Laptop	____	_____

04 | Put the Spending Plan in Order

Write 1, 2, 3.

____ Wants
____ Needs
____ Savings

05 | Savings Goal

A goal costs $360 and the timeline is 9 months.

$360 ÷ 9 = $_____ per month

06 | Connect the Unit

A student's required transportation cost increases by $50 per month.
Think about what might need to change—and what the student may want to protect.

Name two parts of the plan that could be affected.

1. _____
2. _____

What should the student do next?

_____
_____

07 | Answer the Big Question

How can budgeting, spending priorities, and saving help someone make clear choices and reach a goal? Use at least two Unit 1 ideas in your answer.

_____
_____
_____

Before You Start

Fill in the words you know first. Use the word bank and crossing letters to solve the rest.

Word Bank

NEED WANT BUDGET BALANCE
GOAL SAVINGS EXPENSE

Across

3. A plan for how money will be used. (6 letters)

5. Money spent on goods, services, bills, or other costs. (7 letters)

Down

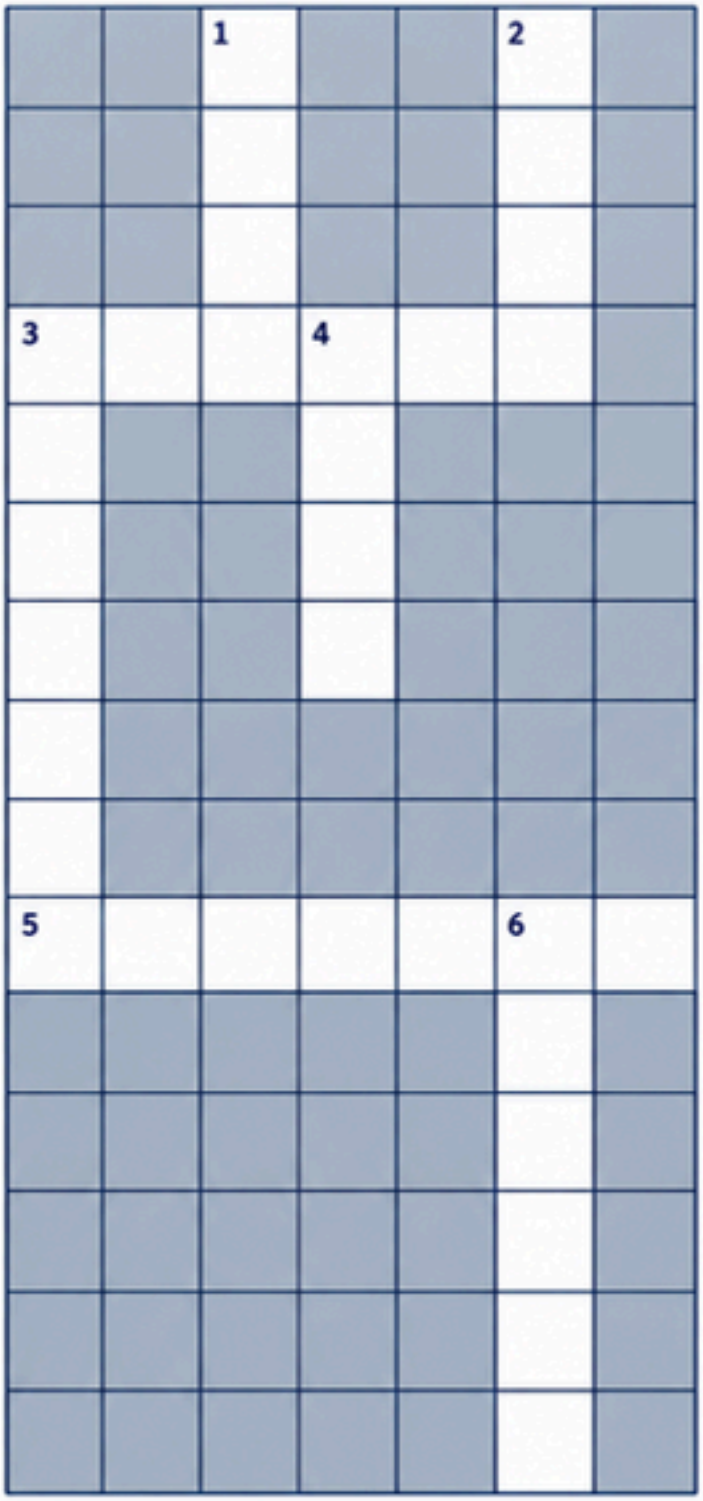
1. Something essential for basic health, safety, or functioning. (4 letters)

2. Something that improves comfort, convenience, or enjoyment but is not essential. (4 letters)

3. Money left after expenses and savings are subtracted from income. (7 letters)

4. A specific result or target you are working toward. (4 letters)

6. Money intentionally set aside for later. (7 letters)



Use the Vocabulary

Choose one word from the word bank. Word: _____

Use it in a sentence that shows what it means:

_____

_____

Unit 1 → Unit 2

Budgeting & Planning → *Money Mindset & Values*

01 | You've Completed Unit 1!

You learned how to:

- build and adjust a budget
- separate needs, savings, and wants
- recognize trade-offs
- build a savings goal and system

A financial plan shows what someone decides to do with money.

The next unit asks a different question:

What can influence the way people think, feel, and decide about money in the first place?

02 | Connect Forward

Two people can have the same income and expenses but make different choices. What is one reason their decisions might be different?

03 | Preview the Next Unit

Unit 2 explores how **money beliefs**, family and community influences, experiences, systems, and financial values can shape decisions.

What is one thing you are curious about when it comes to how people think or feel about money?

04 | Before You Begin

One Unit 1 planning skill I feel confident using is:

One question I want to carry into Unit 2 is:

Next: Unit 2 — Money Mindset & Values